

Week 1

Alternative Investment Funds

- Hedge funds
- Private Equity
 - Venture capital
 - Leveraged Buyouts

Learning Objectives

- Differentiate between hedge funds and mutual funds.
- Explore various hedge fund strategies.
- Understand the fundamentals of private equity, focusing on two key types: venture capital and leveraged buyouts.

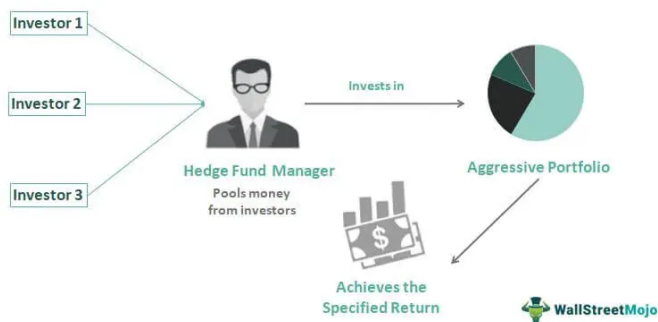
Hedge Funds

- A special type of investment fund
- Different from typical mutual funds, as follows:
 - High minimum investment, averaging around \$1 million
 - Long-term commitment of funds is required
 - The fund invests in various sectors, such as land, stocks, derivatives, currencies, and commodities.
 - It often uses borrowed money to create leverage and multiply returns.
 - High fees: typically, 1-2% of annual asset management fee and 20% of performance fee on profit.
 - Lower legal and regulatory constraints
 - Flexible mandates permitting use of shorting and derivatives
 - Aggressive investment styles that allow concentrated positions in securities offering exposure to credit, volatility, and liquidity risk premiums.
 - Relatively liberal use of leverage.

Leverage

- Let's say you have £ 100 cash with you. But at the same time, you are able to borrow £900 more (assuming interest rate at 8%). So now the total money that you have is £1000.
- Assume you invest £1000 and you earn 10% return on it in one year (So it now goes up to £1,100).
- After you repay your debt of £900 and the interest of £72 (8% of £900), you are left over with £128 (£1,100-£900- £72).
- What is your return?
- $[(£128 - £100) / £100] * 100 = 28\%$ return on your initial capital of £100.

How Does a Hedge Fund Work?



Hedge Fund Strategies

Equity long-short - equity securities and equity-like securities such as swaps and options (with the objective of outperforming the traditional equity benchmark)

Equity Market Neutral funds - aim to create positive returns regardless of the overall market trend and it is achieved by hedging against market factors and by creating a zero net-exposure.

Short selling - strategy that bet and profit from a decline in security's price (borrowing a security and sells it to the open market with the plan to buy it later at a lower price)

Arbitrage Funds - exploits the differential between the cash and derivative market to generate returns (prices in derivative market reflect an anticipated value of the stock at a set time in the future).

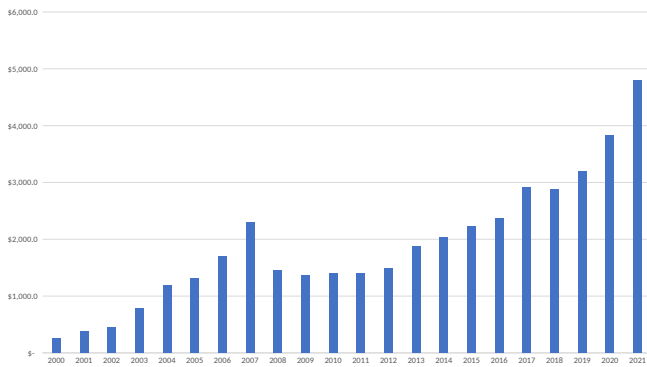
Hedge Fund Strategies

- **Convertible arbitrage** - is an equity long-short investing strategy that typically involves the simultaneous purchase of convertible securities and the sale of the underlying common stock (aims to capitalise on pricing inefficiencies between a convertible security and the stock).
- **Fixed income arbitrage** - aim to profit from pricing anomalies between fixed income securities regardless of the market condition.
- **Global macro strategy** - aims to exploit broad market swings in the global market, and it is based upon the interpretation of macroeconomic and geopolitical events (focus on systematic risk of markets).
- **Event driven** - e.g. managers consciously purchase debts of a troubled company in hope to profit if the company turns around.

Hedge Funds vs Mutual Funds

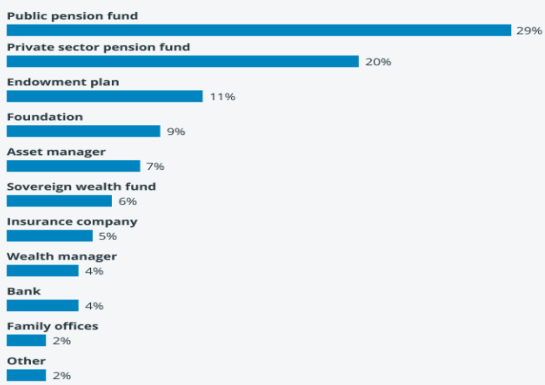
(20) Hedge Funds Vs Mutual Funds - YouTube
<https://www.youtube.com/watch?v=xUa3BillJrA>

Asset Growth in the Hedge Fund Industry
(\$ billions)



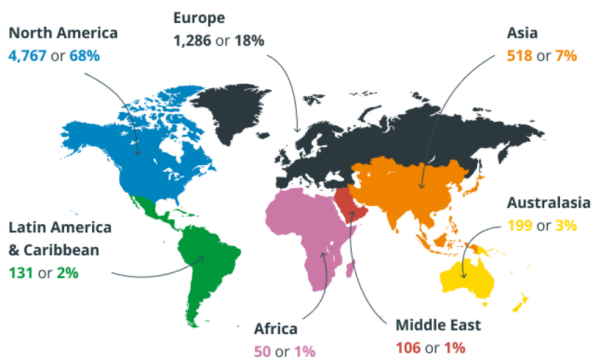
Source: BarclayHedge

Source of capital that allocates to hedge funds by investor type, Q1 2022



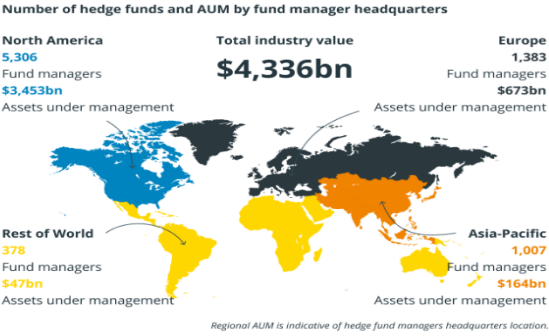
Source: Alternative Investment Management Association (AIMA)

Number of institutional investors that allocate to hedgefunds, by region



Source: Alternative Investment Management Association (AIMA)

Assets under management



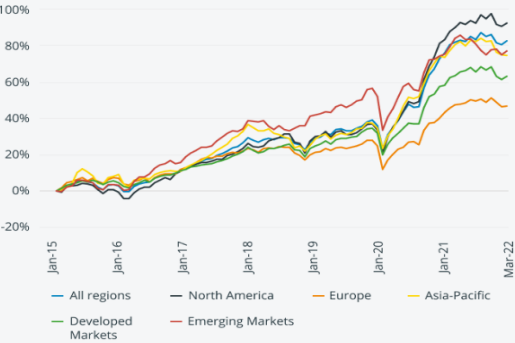
Source: Alternative Investment Management Association (AIMA)

Hedge fund assets under management by strategy (\$bn), 2014 – 2022 YTD

	2014	2015	2016	2017	2018	2019	2020	2021	2022 YTD
Credit strategies	231.6	241.5	236.7	250.1	268.2	293.2	295.8	307.2	307.1
	↑ 4.3%	↓ -2.0%	↑ 5.7%	↑ 7.2%	↑ 9.3%	↑ 0.9%	↑ 3.8%	↓ -0.0%	
CTAs	203.7	223.2	250.7	284.0	260.1	262.5	276.6	305.6	330.6
	↑ 9.6%	↑ 12.3%	↑ 13.3%	↓ -8.4%	↑ 0.9%	↑ 5.4%	↑ 10.5%	↑ 8.2%	
Equity strategies	746.7	807.4	823.2	918.6	852.8	954.9	1,127.7	1,239.3	1,185.5
	↑ 8.1%	↑ 2.0%	↑ 11.6%	↓ -7.2%	↑ 12.0%	↑ 18.1%	↑ 9.9%	↓ -4.3%	
Event driven strategies	166.9	165.4	176.5	204.2	203.4	193.4	186.6	213.8	204.4
	↓ -0.9%	↑ 6.7%	↑ 15.7%	↓ -0.4%	↓ -4.9%	↓ -3.5%	↑ 14.6%	↓ -4.4%	
Macro strategies	910.2	919.3	979.3	1,061.4	1,027.3	1,083.8	1,143.3	1,222.0	1,265.3
	↑ 1.0%	↑ 6.5%	↑ 8.4%	↓ -3.2%	↑ 5.5%	↑ 5.5%	↑ 6.9%	↑ 3.5%	
Multi-strategy	394.8	430.6	425.2	481.4	481.0	497.1	558.4	587.7	584.0
	↑ 9.1%	↓ -1.3%	↑ 13.2%	↓ -0.1%	↑ 3.3%	↑ 12.3%	↑ 5.3%	↓ -0.6%	
Niche strategies	14.0	14.3	14.8	25.0	29.4	30.5	29.7	54.7	54.6
	↑ 2.1%	↑ 3.5%	↑ 68.9%	↑ 17.6%	↑ 3.4%	↓ -2.6%	↑ 84.4%	↓ -0.2%	
Relative value strategies	351.8	343.7	340.6	352.6	328.3	340.4	377.6	409.0	404.9
	↓ -2.3%	↓ -0.9%	↑ 3.5%	↓ -6.9%	↑ 3.7%	↑ 10.9%	↑ 8.6%	↓ -0.1%	

Source: Alternative Investment Management Association (AIMA)

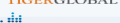
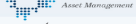
Cumulative performance of hedge funds by geographical focus, January 2015 - March 2022



Source: Alternative Investment Management Association (AIMA)

The World's Highest-Earning Hedge Fund Managers

Hedge fund managers' earnings in 2019 (in U.S. dollars)

Chris Hohn		TCI Fund Management	\$1.8b
James Simons		Renaissance Technologies	\$1.8b
Ken Griffin		Citadel	\$1.5b
Izzy Englander		Millennium Management	\$1.5b
Chase Coleman		Tiger Global Management	\$1.4b
Steven Cohen		Point72	\$1.3b
David Tepper		Appaloosa Management	\$1.3b
Raymond Dalio		Bridgewater Associates	\$1.1b

Source: Institutional Investor



statista

Highest-Earning Hedge Fund Managers for 2023

- 1. Chris Hohn – TCI Fund Management: \$2.9 billion
- 2. Israel Englander – Millennium Management: \$2.8 billion
- 3. Kenneth Griffin – Citadel: \$2.6 billion
- 4. David Tepper – Appaloosa Management: \$2.3 billion
- 5. Steven Cohen – Point72 Asset Management: \$1.6 billion
- 6. Philippe Laffont – Coatue Management: \$1.4 billion
- 7. James Simons – Renaissance Technologies: \$1.3 billion
- 8. John Overdeck & David Siegel – Two Sigma: \$1.2 billion
- 9. Chase Coleman – Tiger Global Management: \$1.1 billion
- 10. O. Andreas Halvorsen – Viking Global Investors: \$1.0 billion

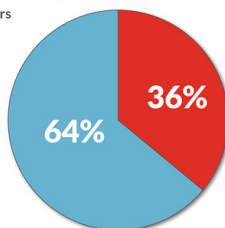
Source: The 23rd Annual Ranking of the Highest-Earning Hedge Fund Managers

<https://www.institutionalinvestor.com/article/2d0quhk4ghsahvvia26m8/corner-office/the-23rd-annual-ranking-of-the-highest-earning-hedge-fund-managers>

Who keeps the profits?

Relative shares of gross profits of hedge fund industry*

- Share kept by hedge fund managers
- Share kept by investors



*Based on study of nearly 6,000 hedge funds from 1995 through 2016

Source: Itzhak Ben-David, Justin Birru, Andrea Rossi

Top Hedge Funds in the World 2023

Top Hedge Funds List (2023)						
Rank	Firm Name	City	State	Country	Filing Date	AUM (\$mm)
1	Millennium Management	New York	NY	United States	09/26/2023	\$390,617
2	Citadel Advisors	Miami	FL	United States	07/07/2023	\$339,079
3	Bridgewater Associates	Westport	CT	United States	04/21/2023	\$196,834
4	Balyasny Asset Management	Chicago	IL	United States	05/18/2023	\$184,423
5	Mariner Investment Group	Harrison	NY	United States	03/30/2023	\$180,437
6	Arrowstreet Capital	Boston	MA	United States	09/05/2023	\$171,377
7	Man Group	London	England	United Kingdom	07/10/2023	\$151,700
8	Point72 Asset Management	Stamford	CT	United States	07/06/2023	\$139,912
9	Artisan Partners	Milwaukee	WI	United States	06/30/2023	\$128,676
10	AQR Capital Management	Greenwich	CT	United States	03/31/2023	\$119,997

Source: [Top Hedge Funds List](#) | [Ranked by AUM](#)

Rank ^	Fund Name ^	City ^	Country ^	AUM (\$ Millions)...	Strategies ^
1	Rokos Capital M...	London	United Kingdom	\$138,426	Global Macro
2	Willis Towers Wa...	London	United Kingdom	\$128,000	Fund of Funds
3	Capula Investme...	London	United Kingdom	\$118,360	Absolute Return...
4	Two Sigma Inter...	London	United Kingdom	\$81,175	Long/Short
5	Squarepoint Ops	London	United Kingdom	\$75,717	Quantitative
6	Brevan Howard ...	London	United Kingdom	\$58,630	Global Macro, Co...
7	Lansdowne Part...	London	United Kingdom	\$31,740	Absolute Return...
8	Polar Capital Par...	London	United Kingdom	\$30,348	Long/Short, Con...
9	Marshall Wace	London	United Kingdom	\$28,400	Global Macro, M...
10	Cheyne Capital	London	United Kingdom	\$27,889	Real Estate, Fixe...
11	Lindsell Train Li...	London	United Kingdom	\$26,990	Fixed Income, As...
12	Man Group	London	United Kingdom	\$26,040	Global Macro, Co...
13	Egerton Capital	London	United Kingdom	\$24,344	Long/Short
14	Alcentra	London	United Kingdom	\$22,590	Distressed Assets
15	Barings	London	United Kingdom	\$19,289	Fund of Funds, ...
16	Systematica Inv...	London	United Kingdom	\$18,629	Commodities

[Top 50 Hedge Funds in United Kingdom 2023 - Largest UK Hedge Funds by AUM](#)
<https://hedgelists.com/top-50-uk-hedge-funds-2023/>

Top 10 Performing Funds in 2023 So Far

Fund	Medalist Rating	Category	Star Rating	June Return	YTD Return
Liontrust Global Technology	Neutral	Sector Equity Technology	★★★★	1.75	39.86
T. Rowe Price Glb Tech Eq SICAV	Neutral	Sector Equity Technology	★★	1.48	39.37
T. Rowe Price Glb Tech Eq DEIC	Neutral	Sector Equity Technology	★	0.89	37.90
UBG Global Technology Index	Gold	Sector Equity Technology	★★★★★	1.71	36.62
Nikko AM ARK Disruptive Innovation	Neutral	US Flex-Cap Equity	-	6.77	35.75
PGIM Jennison US Growth	Gold	US Large-Cap Growth Equity	★★★★	4.51	31.11
Natixis Loomis Sayles US Eq Ldrs	Silver	US Large-Cap Growth Equity	★★★★★	2.90	30.20
Polar Capital Global Tech	Gold	Sector Equity Technology	★★★★	0.82	28.71
T. Rowe Price US Blue Chip Eq	Silver	US Large-Cap Growth Equity	★★★	2.90	28.50
MS INVF US Advantage	Silver	US Large-Cap Growth Equity	★★	5.99	27.86
MS INVF Global Opportunity	Bronze	Global Large-Cap Growth Equity	★★★	4.12	27.79

Returns in %

Source: Morningstar Direct, June 30, 2023

Hedge Funds

- Investors should conduct extensive due diligence before they commit money to any hedge fund.
- Understanding which strategies the fund uses, as well as its risk profile, is an essential first step.
- Also, need to understand whether or not the hedge fund aligns with the investor's overall investment.

Private Equity Investments

- An alternative to investing via public securities is private equity (PE) investments.
- PE owns companies privately (instead of buying shares of a company in the stock exchange, these investments are done behind the closed doors, through private transactions).
- Private equity (PE) refers to investments made into private companies or the buyout of public companies, resulting in their delisting from public stock exchanges.

Private Equity Investments

Key Characteristics:

- Ownership: Investors acquire significant ownership stakes in companies.
- Capital Source: Typically comes from institutional investors and high-net-worth individuals.
- Goal: Enhance company value through strategic management, operational improvements, and growth initiatives.
- Exit Strategies: Includes Initial Public Offerings (IPO), mergers, or private sales.
- Most common types of PE are:
 - venture capital funds
 - capital buyouts

Top 15 Private Equity Firms by AUM (2025)

Rank	Firm	AUM (USD)
1	BlackRock	\$8.2 trillion
2	Blackstone	\$1 trillion
3	Apollo Global Management	\$550 billion
4	KKR	\$510 billion
5	The Carlyle Group	\$376 billion
6	CVC Capital Partners	\$165 billion
7	TPG	\$135 billion
8	Thoma Bravo	\$122 billion
9	EQT	\$100 billion
10	Insight Partners	\$90 billion
11	Warburg Pincus	\$80 billion
12	Advent International	\$75 billion
13	Bain Capital	\$70 billion
14	Vista Equity Partners	\$65 billion
15	Silver Lake Partners	\$60 billion

Source: [15 Top Private Equity Firms in the World \(2025 Updated\)](https://dealroom.net/blog/biggest-private-equity-firms)
<https://dealroom.net/blog/biggest-private-equity-firms>

Notable Investments by Top Private Equity Firms

Firm	Notable Investments
BlackRock	Apple, Microsoft, Amazon, Alphabet (major stakes in publicly traded companies via ETFs and index funds).
Blackstone	Hilton Worldwide, Ancestry.com, Bumble, The Weather Channel.
Apollo Global Management	ADT, Yahoo (formerly Verizon Media), McGraw-Hill Education, Chuck E. Cheese.
KKR	Lyft, ByteDance (TikTok parent company), Epic Games, First Data Corporation.
The Carlyle Group	Supreme (streetwear brand), ZoomInfo, Dunkin' Brands, Acosta Sales and Marketing.
CVC Capital Partners	Formula One, Breitling, Avast, PDC Energy.
TPG	Airbnb, Uber, Spotify, SurveyMonkey, CAA (Creative Artists Agency).
Thoma Bravo	SolarWinds, McAfee, Sophos, RealPage (technology-focused investments).
EQT	SUSE (Linux distribution), Wolt, IFS, Zayo Group (fiber-optic infrastructure).
Insight Partners	Twitter, Shopify, Monday.com, Qualtrics (software and technology).
Warburg Pincus	Airbnb, Alibaba, Grubhub, Reorg Research (media and technology).
Advent International	Walmart Brazil, The Coffee Bean & Tea Leaf, Olaplex (haircare), Encora.
Bain Capital	Virgin Voyages, Canada Goose, Domino's Pizza Japan, IMC Toys.
Vista Equity Partners	Datto, Mindbody, Ping Identity, Gainsight (enterprise software).
Silver Lake Partners	Deel Technologies, AMC Entertainment, Alibaba, Twitter.

PE type 1: Venture Capital Firms

- These firms provide funds for start-up companies
- Often become very involved with firm management and provide expertise
- Description of Industry
 - Typically limited partnerships
 - Examples of venture-backed firms include Apple, Microsoft, Starbucks, Facebook, WhatsApp, Snapchat...
 - Have resulted in job creation, economic growth, and international competitiveness.
- First U.S. venture capital firm was established in 1946.
- Funding has shifted over time from wealthy individuals to pension funds/corporations (this is one of the few *risky investments* pension funds are permitted).
- Corporate funding of venture capital projects increased when many companies reduced their investment in their own in-house R&D in favour of outside start-up companies (successful projects were acquired).

Venture Capitalists Reduce Asymmetric Information

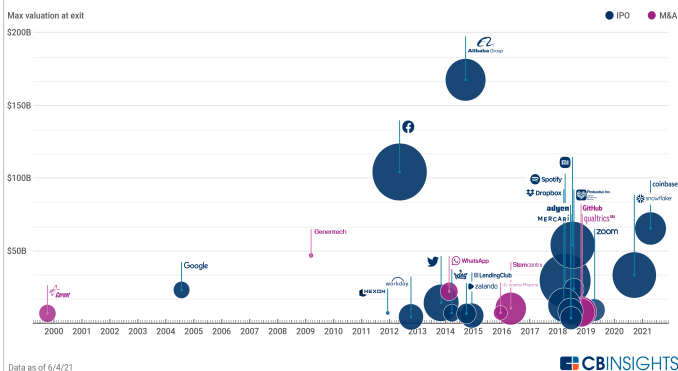
- Managers of start-ups may have objectives that differ significantly from profit maximization.
- Venture capitalists can reduce this information problem in several ways
 - Long-term motivation - as opposed to bank loans or bond financing, venture capital firms hold an equity interest in the firm. The firms are usually privately held (illiquid) - venture capital investment horizons are long-term (no return expected for a few years).
 - Sit on the board of directors (not passive investors) - actively attempt to add value to the firm through advice, assistance, and business contacts.
 - Disburse funds in stages, based on required results - if development stalls or markets change, funds can be withheld.
 - Invest in several firms, diversifying some risk - the risk of loss is significantly lowered.

Life of Venture Capital Deal

- Fundraising
 - Usually have a portfolio target amount
 - Venture firm solicits commitments, usually less than 100 per deal
 - Minimum commitment is usually high
- Investment phase
 - Seed investing - invest in a firm before it has a real product or is even clearly organized as a company (60%)
 - Early-stage investing - invest in a firm that is little further along in its life cycle (25%)
 - Later stage investing - provide funds to help the company grow to a critical mass to attract public financing (15%)
- Exit
 - The goal of a venture capital investment is to help nurture a firm until it can be funded with alternative capital.
 - Usually IPO or through mergers and acquisitions

25 OF THE BEST VC-BACKED EXITS OF ALL TIME

Based on ratio of exit valuation to total pre-exit funding. Bubble size represents total funding at exit.



PE Type 2: Leveraged buyouts (LBO)

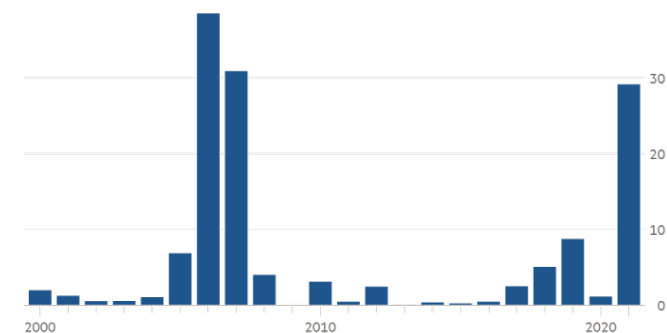
- A public company is taken private.
- Why go private?
 - Avoid regulations
 - Provides flexibility and ability to avoid public scrutiny of earnings. Also helps attract top talent no longer interested in the life of a public-company CEO.
 - Tax advantages, and high compensation for partners.

Private Equity Buyouts

- Lifecycle of a Private Equity Buyout
 - Investors pledge money (usually \$1 million or more) and intent to leave money in partnership for 5+ years.
 - Partners identify an opportunity, buy it, and then manage its future (typically hire a CEO for day-to-day operations).
 - The company is then sold to the public via an IPO.

Take private deal volumes surge in the UK

Deal value (\$bn)



Source: Refinitiv
© FT

Private Equity Deals in 2024

- In 2024, private equity (PE) firms significantly increased their activity in Europe, capitalizing on the region's economic downturn to acquire large companies at reduced valuations.
- The total value of European buyout deals exceeding \$1 billion reached approximately **\$133 billion**, marking a 78% increase from 2023.
- This growth rate surpassed the **global increase** of 29% for similar deals, which totaled **\$242 billion**.
- Notable transactions during the year :

\$6.9 billion consortium agreement for investment platform Hargreaves Lansdown

\$5.5 billion deal by Thoma Bravo to take the British cybersecurity company Darktrace private

Several factors contributed to this surge in PE activity:

Economic Conditions: Europe faced a challenging economic outlook characterized by modest growth forecasts, political instability, and geopolitical threats. These conditions, combined with the strength of the U.S. dollar, made European assets more attractive to U.S. private equity funds.

Targeted Economies: Stable European economies, such as the U.K., the Nordics, and Germany, became focal points for private capital providers seeking reliable investment opportunities amidst broader economic uncertainties.

This trend underscores the strategic moves by private equity firms to leverage favorable market conditions and acquire valuable assets at advantageous valuations.

Source: Private Equity Deals in Europe Jumped 78% in 2024.
<https://www.pymnts.com/acquisitions/2025/private-equity-deals-in-europe-jumped-78-in-2024/>
